

TIM80C, Lecture # 16 (5/21/26)

Agenda:

1. Income statement
2. HW #4 : due Tuesday, (5/26/26)
3. Class discussion of "Adobe as a start-up"
4. Midterm re-submissions due today at the end of class today (on paper)
5. HW #5 has been posted

Income statement

The income statement, also called the Profit & Loss (P&L) statement is a statement of how equity changes over time.
(usually over a quarter, or a year.)

A very simplified income statement for the ACME company for the year 2025.
(all numbers are in \$1000s)

① Sales Revenue = \$500

② Operating Expenses = - \$100 (aka Cost of Goods Sold or COGS)

Earnings before Interest & Taxes (EBIT) = \$400

③ Interest (on Loans) = - \$50 (say)

Earnings before Tax (EBT) = \$350

④ Taxes (assume 50% tax rate) = - \$175

⑤ Earnings after Tax (EAT) = \$175 = Net Profit
or Net Income

Ratios :

From the income statement,

$$\text{Profit Margin (or Return on Sales)} = \frac{\text{Return}}{\text{Sales}} \times 100\% = \frac{\text{Net Profit}}{\text{Sales Rev}} \times 100\%$$

$$= \frac{\$175}{\$500} \times 100\%$$

$$= 35\% \text{ (excellent!)}$$

$$\text{Return on (Owners) Equity} = \text{ROE} = \frac{\text{Return}}{\text{Owner's Equity}} \times 100\%$$

Income statement ↙
Balance statement ↗

$$= \frac{\$175}{\$300} \times 100\%$$

$$= \underline{\hspace{2cm}} \text{ (complete this!)}$$

2.

HW # 4

HW # 4, Prob # 4

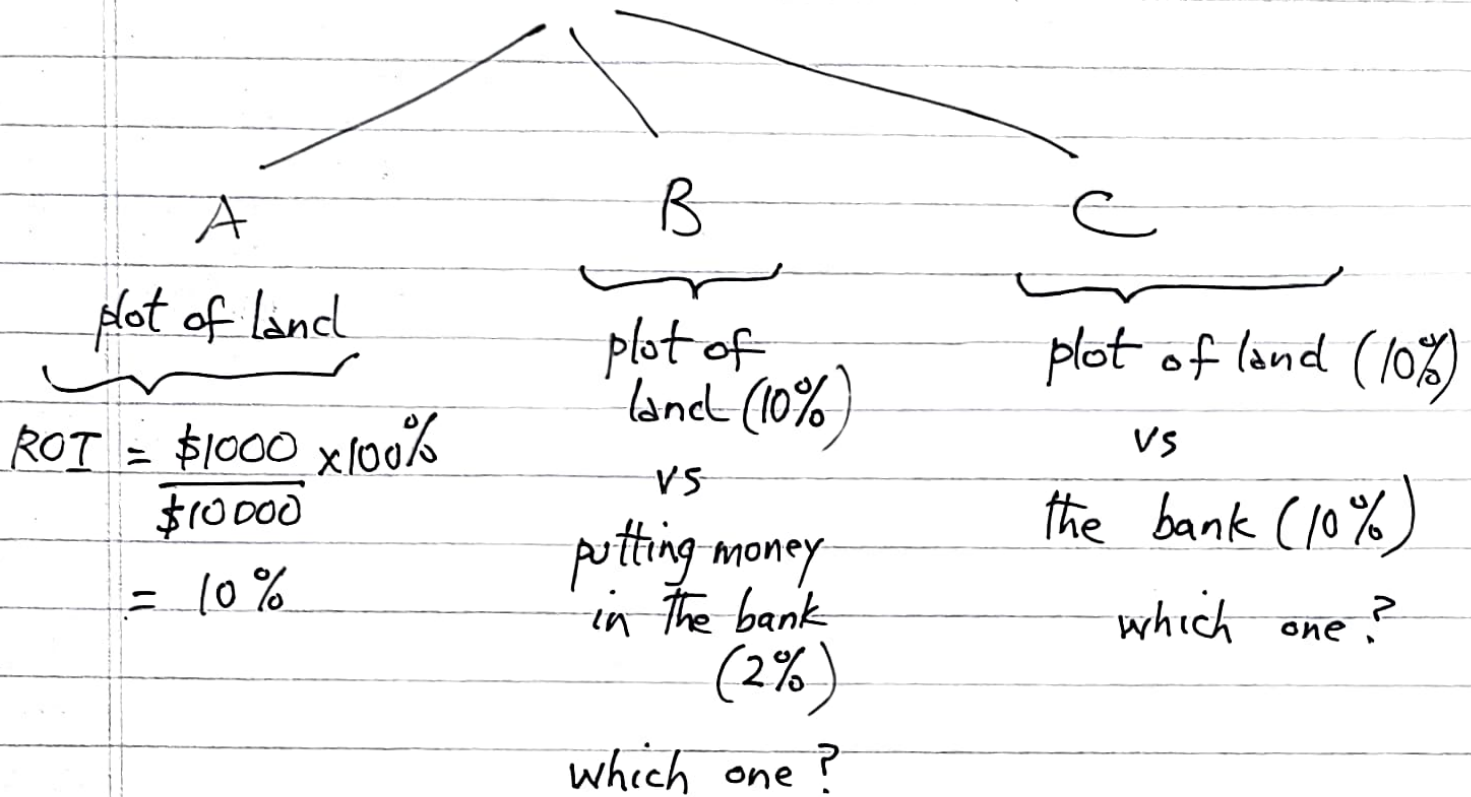
Financial Accounting for Apple (2025, Q4)

- Apple Inc / 2025 Form 10-K
- Apple's web-site : Annual Report
- MSN Finance
- Google Finance
- SEC

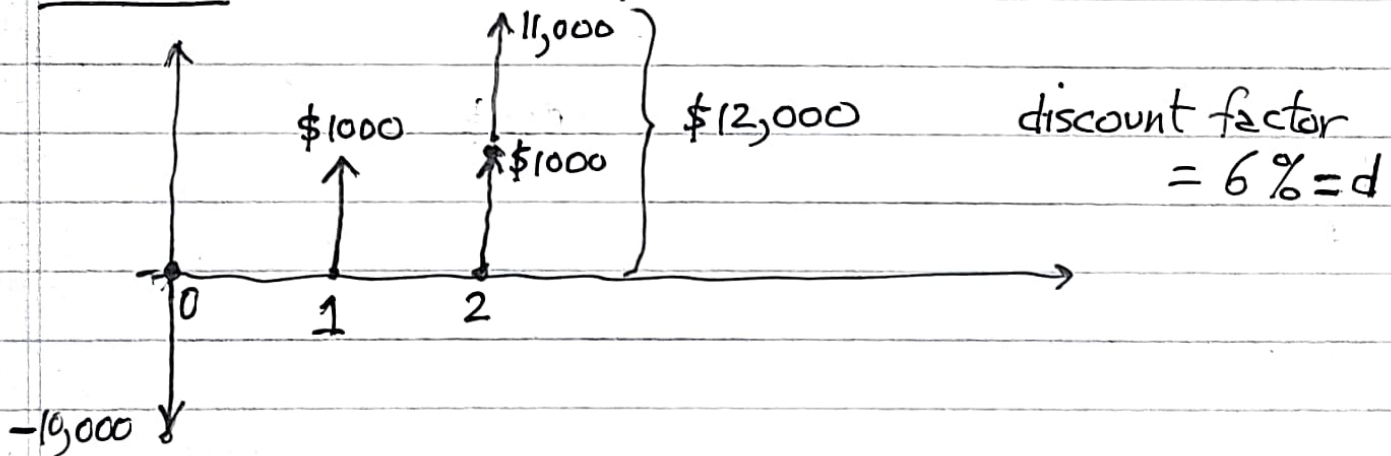
or google " Apple Fiscal year 2025-Q4
consolidated financial
statements "

HW # 4

Prob. 1 :



Prob. 2 : A 2-period investment



$$NPV = -10,000 + \frac{1000}{(1+d)} + \frac{12,000}{(1+d)^2} = ?$$

HW#4, Prob.3 : Robotic Vacuum Cleaner (from HW#3)

Notes:

(i) Annual discount factor = $12\% \equiv 0.12 = d$

(ii) Quarterly discount factor = $\frac{d}{4} = \frac{12}{4} = 3 \equiv 0.03$

(iii) Y_1, Q_1 is the present $\equiv 1$

(iv) $PV(\text{Quarter } n) = \frac{\text{Net cash flow (Qtr. } n)}{\left(1 + \frac{d}{4}\right)^{n-1}}$
 $n=1, 2, \dots, 8$

(v) Copy & paste the cash flow table on Page 2 & follow the process from L # 13, 14

→ $NPV = PV(Q_1) + PV(Q_2) + \dots + PV(Q_8)$

$$= -100 - \frac{100}{\left(1 + \frac{d}{4}\right)} - \frac{200}{\left(1 + \frac{d}{4}\right)^2} + \dots$$

(vi) Result = NPV of the expected profit = $\$-71.3$
(Remember $\$1 = \$1K = \$1000$)

Conclusion : ? ~~~~~

HW # 4, Prob. # 5 (Adobe)

1. What was Adobe's product at start-up;
& who were their customers
2. To be successful, a start-up should have
an "unfair advantage."
What was Adobe's unfair advantage?
3. Align your reading of Adobe to the
components of this course :
 1. The Product
 2. Competitive Strategy
 3. Business Strategy
 4. Financial strategy
 5. Business Plan

HW # 4, Prob. 6 ("Your start-up" from the midterm)

— Refer to the BP handout

Parts (4)–(6) of the BP for HW# 4, Prob. 6 are from the midterm

(4) → Product Concept

(5) → Business Strategy

(6) → Market Strategy

You will need to add Parts (2), (3), (7) & (8)